

Shwetanshu Kumar Ojha v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 18 January 2023 · Writ-C No. 35257 of 2022 · **Petition disposed of in terms of the respondent-Corporation's affidavit and the Additional Advocate General's statement: the recovery against the petitioner had already been withdrawn (communicated to the ADM (Finance & Revenue), Ballia on 11.1.2023), and the Corporation undertook, per its Managing Director's circular dated 9.1.2023, to review non-compliant assessments, withdraw improper recoveries and proceed against defaulting officers.**

Source file: WRIC(A)_35257_2022.pdf

HEADNOTE

On a challenge to a recovery certificate founded on a final theft assessment, the Division Bench held that fixing a date for hearing after receipt of the assessee's written objections, and affording him an opportunity of hearing, is a mandatory requirement under Clause 8.1(b)(iii) and (iv) of the U.P. Electricity Supply Code, 2005; an assessment order passed 'in a most perfunctory manner' without such a hearing and without alluding to the objection cannot stand. The Court further held that the scheme of the Code requires the Assessing Officer to apply his mind to the facts, the objection and the evidence, and that the final assessment order must record a specific finding of theft and disclose the material on which that finding rests, so a mechanical direction to deposit the provisionally assessed amount for want of evidence is impermissible. Taking systemic notice that assessments were routinely being made without following the Code, the Court directed the Managing Director of the licensee to appear; on his affidavit annexing a circular dated 9.1.2023 (directing officers to follow the Code, review and withdraw recoveries issued without a valid final assessment, and face disciplinary action) and recording that the recovery against the petitioner had already been withdrawn, the petition was disposed of in terms of that undertaking, coercive recovery having been kept in abeyance throughout.

FACTUAL SUMMARY

The petitioner, Shwetanshu Kumar Ojha, filed Writ-C No. 35257 of 2022 seeking to quash the recovery certificate dated 4.8.2022 issued by the Executive Engineer, U.P. Vidyut Vitran Nigam Ltd. (Purvanchal Vidyut Vitran Nigam Ltd.), Ballia, and a mandamus restraining coercive action for realisation of the demand. His grievance was that the procedure prescribed under Clause 8.1 of the U.P. Electricity Supply Code, 2005 for making a final assessment in a case of theft of electricity had not been followed: the Executive Engineer's order dated 17.12.2020 had, in a mechanical manner, directed him to deposit the provisionally assessed amount on the footing that he had filed no evidence, without fixing any date for personal hearing or passing a speaking order. Hearing the matter across a series of orders (5.1.2023, 6.1.2023, 12.1.2023 and 18.1.2023), the Bench called for the original record and, on 12.1.2023, found from it that no date had been fixed for hearing after receipt of the petitioner's written objections and that no opportunity of hearing had been given, and directed respondent no. 2 (the Managing Director) to appear with an explanation. On 18.1.2023 the Managing Director appeared and filed a personal affidavit annexing a circular letter dated 9.1.2023 instructing officials to strictly follow the Code, to review each case and withdraw recoveries issued without proper procedure or a final assessment, and stating that disciplinary proceedings were in progress against six officials; the affidavit also recorded that the recovery against the petitioner had already been withdrawn, communicated to the ADM (Finance & Revenue), Ballia on 11.1.2023.

REUSABLE CONSTRUCTIONS

1. Fixing a date for hearing after receipt of the assessee's written objections, and affording him an opportunity of hearing, is a mandatory requirement under Clause 8.1(b)(iii) and (iv) of the U.P. Electricity Supply Code, 2005 before a final assessment order can be passed in a case of theft of electricity; an assessment made without it is perfunctory and unsustainable. **order of 12.1.2023**
2. A final assessment order in a theft / unauthorised-use case must be a speaking order: the Assessing Officer must apply his mind to the facts, the objection filed and the evidence led, record a specific finding that it was a case of theft of electricity, and clearly disclose the material on the basis of which that conclusion was reached; a mechanical direction to deposit the provisionally assessed amount for want of evidence does not satisfy Clause 8.1. **order of 12.1.2023**

3. Where electricity theft assessments are routinely being made without following the Code's procedure, the licensee is obliged to review each case, withdraw recoveries issued without a valid final assessment, intimate the recovery (Tehsil / revenue) authorities, and initiate fresh proceedings in accordance with the Code; officers found guilty of dereliction may face disciplinary action, and the High Court will exercise continuing supervision over such systemic non-compliance. **order of 12.1.2023; order of 18.1.2023**

HOLDING-UNITS

HOLDING-UNIT · UP-2005::8.1(b)(iii),(iv)

RATIO

Opportunity of hearing after written objections is mandatory before a final assessment in a theft case

QUESTION

Before passing a final assessment order in a theft-of-electricity case under Clause 8.1, must the assessing officer fix a date for hearing after receiving the assessee's written objections and afford him an opportunity of hearing?

HOLDING

Yes. Fixing a date for hearing after receipt of the written objections and affording the assessee an opportunity of hearing is a mandatory requirement under Clause 8.1(b)(iii) and (iv). On a perusal of the original record the Court found that no such date had been fixed and no hearing had been given, and that the order of assessment had been passed 'in a most perfunctory manner' without even alluding to the contents of the objection; such an assessment could not stand. The recovery founded on it was kept in abeyance and was ultimately withdrawn by the Corporation. **order of 12.1.2023**

EVIDENCE “no date was fixed for hearing after receipt of written objections from the petitioner and consequently he was also not afforded any opportunity of hearing which is a mandatory requirement under Clause 8.1 (b) (iii) and (iv)” **order of 12.1.2023**

EVIDENCE “The order of assessment has been passed in a most perfunctory manner without, even alluding to the contents of the objection” **order of 12.1.2023**

FLAG Source is a four-order order-sheet (5.1.2023-18.1.2023); not paginated and not paragraph-numbered, so pins reference the order dates. Substantive reasoning on 12.1.2023; final disposal on 18.1.2023.

HOLDING-UNIT · UP-2005::8.1

RATIO

A final theft assessment must be a reasoned speaking order recording the theft finding and its material basis

QUESTION

What must a final assessment order in a theft case contain, and may it be passed mechanically merely because the assessee led no evidence?

HOLDING

The scheme of the Code requires the Assessing Officer to apply his mind to the facts of the case, the objection filed by the assessee and the evidence led; the final assessment order must record a specific finding that it was a case of theft of electricity and clearly disclose the material on the basis of which that conclusion was arrived at. A mechanical order that merely directs deposit of the provisionally assessed amount on the ground that the assessee filed no evidence, without such application of mind or a reasoned finding, does not satisfy Clause 8.1 and is unsustainable. **order of 12.1.2023**

EVIDENCE “the Assessing Officer has to apply his mind to the facts of the case, objection filed by the assessee and evidence that is led” **order of 12.1.2023**

EVIDENCE “The final assessment order should record a specific finding that it was a case of theft of electricity and the material on basis of which the said conclusion has been arrived at, should be clearly disclosed in the assessment order” **order of 12.1.2023**

PRINCIPLE TAGS

mandatory-hearing-before-final-theft-assessment The final assessment was set at naught because no date for hearing was fixed after the written objections and no opportunity of hearing was given, which the Bench held to be a mandatory requirement under Clause 8.1(b)(iii) and (iv). **order of 12.1.2023**

speaking-order-required-for-theft-assessment A mechanical order directing deposit of the provisional amount for want of evidence was held impermissible; the final assessment must apply the mind to facts, objection and evidence and record a reasoned finding of theft with the material relied on. **order of 12.1.2023**

the Code, the Court summoned the Managing Director and, on his circular directing review and withdrawal of improper recoveries and disciplinary action against defaulting officers, disposed of the petition in terms of that undertaking.

order of 12.1.2023; order of 18.1.2023

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER THE PETITIONER IN FACT COMMITTED THEFT OF ELECTRICITY, AND THE MERITS AND QUANTUM OF THE ASSESSMENT

Left open; the Corporation withdrew the recovery against the petitioner and the petition was disposed of on that basis, so the truth of the theft allegation was never adjudicated. order of 18.1.2023

RELATED CASES — SEE ALSO

SCJ-014 — Chunni Lal Gupta (2014) — Clause 8.1(b)(iii): after a theft raid the consumer must be served the provisional assessment bill and given time to respond, followed by a final assessment; hearing sequence before recovery.

SCJ-022 — Dr. Munni Lal (2011) — Clause 8.1(b)(iii): the provisional assessment bill must be served with a show-cause notice giving an opportunity to object before a final theft assessment.

SCJ-2002 — Yadu Nath Parashar (2019) — recovery on a provisional assessment set aside with a direction to hear the consumer and decide the Clause 8.1(b) representation before recovery.

SCJ-2596 — Sunil Kumar Sahani (2021) — a Clause 8.1 theft provisional assessment does not attain finality merely because no objection was filed.

SCJ-872 — Ram Das (2011) — recovery certificate in Section 135 theft proceedings challenged for want of a Clause 8.1(b)(iii) hearing.